

MKTG 612 Marketing Analytics Project Report

TRADER JOE'S



GROUP 2

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Background & Research Objectives

The U.S. grocery retail sector is among the most saturated and competitive markets, comprising several dominant strategic groupings. On one end are mass-market giants such as Walmart and Target, competing on scale and low prices; on another are premium or health-oriented grocers (e.g., Whole Foods, Sprouts), which compete on quality, origin, and specialty offerings; and there are “club/value” warehouse retailers like Costco, which target bulk purchasing and cost efficiency. Within this crowded landscape, Trader Joe’s occupies a unique “blue ocean” niche: positioning itself as a neighborhood-grocery store that democratizes access to gourmet and specialty foods through private labeling, offering an affordable-yet-distinctive alternative to both discounters and high-end organic retailers.

However, the competitive pressures on Trader Joe’s are intensifying. On one side, premium grocers are lowering prices to increase accessibility; on the other, mass-market and warehouse retailers are expanding their own organic and specialty product lines. This evolving environment raises a critical **research problem**: *“How is Trader Joe’s currently perceived in consumers’ minds relative to these key competitors — and what repositioning opportunities might exist to reinforce or expand its marketplace niche?”*, Based on this question, we propose the following **hypothesis**: Trader Joe’s successfully occupies a distinct “affordable premium” position and is perceived by many consumers as offering high quality and healthy (or specialty) options at a lower price point than premium competitors like Whole Foods, while still being viewed as superior to discount retailers such as Walmart.

To test this hypothesis and explore strategic options, this study has three main **research objectives**: (1) conduct a dimensional decomposition to identify the underlying psychological dimensions that drive grocery-store choice, (2) perform a competitive proximity analysis to map how close or distant Trader Joe’s sits relative to core competitors in consumer perception space, and (3) validate which store attributes (e.g., uniqueness, health, price) most strongly drive consumer preference and whether these preferences explain the gap between high brand preference but lower predicted market share.

Research Method

This study employs Multidimensional Scaling (MDS) and Positioning Analysis using the Enginius marketing analytics platform to understand how consumers perceive Trader Joe's relative to its competitors. MDS is a multivariate technique that transforms complex consumer evaluations into a visual perceptual map. In this map, Euclidean distances represent the degree of similarity or dissimilarity between brands, while attribute vectors indicate the strength and direction of the factors driving consumer preferences. This approach is suitable for identifying underlying psychological dimensions of choice and visualizing competitive proximity in a saturated retail market.

Sample Method and Sample Size:

Data were collected through a structured survey targeting U.S. grocery shoppers. A non-probability convenience sampling method was used, consistent with typical perceptual mapping research, given the need for attitudinal rather than demographic representativeness. The final sample consisted of $N = 71$ respondents, which falls within the recommended range (40–60+) for MDS while ensuring adequate variation in perceptions.

Respondents rated six grocery retailers in the competitive set: Trader Joe's (focal brand), Whole Foods, Walmart, Target, Costco, and Sprouts. Each retailer was evaluated across five attributes commonly associated with grocery retail choice: product quality, value for money, health/organic options, variety/uniqueness, and convenience. These attributes were selected because they represent the core dimensions along which consumers differentiate grocery retailers in the U.S. market.

Research Limitations:

As with most perceptual research, several limitations apply. First, the use of a convenience sample means the findings may not fully generalize to the broader population of U.S. shoppers. Second, perceptual ratings are subjective and reflect respondents' beliefs rather than objective market performance. Third, MDS simplifies multidimensional consumer perceptions into a two- or three-dimensional space, which, while highly informative, may not capture all nuances of brand meaning. Despite these limitations, the method is appropriate for uncovering relative brand positions and identifying strategic repositioning opportunities.

Findings and Marketing Insights

Our analysis using multidimensional scaling (MDS) and segmentation tools within Enginius revealed that two primary psychological dimensions account for approximately 92.1% of the variance in how consumers evaluate grocery retailers. The first dimension reflects a tension between *value/convenience* and *quality/health/uniqueness*, while the second distinguishes between *health & premium quality orientation* and *value & convenience orientation*. On a perceptual map, this results in a clear clustering of mass-market discounters (e.g., price-driven, convenience-oriented), premium/organic grocers (quality/health/uniqueness oriented), and a hybrid middle space occupied by Trader Joe's. It has been perceived by many consumers as offering a mix of reasonable value, unique or specialty products, and acceptable quality, though with somewhat lower convenience ratings compared to big-box competitors.

Segmentation of respondents based on attribute preferences yielded three distinct consumer groups, "Wellness Prioritizers," "Budget Maximizers," and "Convenience Seekers", each with different trade-offs and brand expectations. This segmentation underscores that a one-size-fits-all positioning would fail to satisfy all consumer types. Instead, there is a strategic opportunity to reinforce Trader Joe's hybrid value-quality identity while selectively enhancing convenience to capture the "Convenience Seekers" segment. In practice, this means that by preserving quality, uniqueness, and value, but improving operational convenience (layout, checkout speed, pickup/delivery), Trader Joe's can expand appeal without diluting its core strengths.

Data Analysis:

Dimensions		
Number of dimensions retained		
You have decided to display the first 2 dimensions, which account for a total of 92.1% of the variance in the data.		
	Variance explained	Cumulative variance
Dimension 1	61.1%	61.1%
Dimension 2	31.0%	92.1%
Dimension 3	6.6%	98.7%
Dimension 4	0.9%	99.6%
Dimension 5	0.4%	100.0%
Variance explained. Variance and cumulated variance explained, by dimension.		

Coordinates		
	Dimension I	Dimension II
Product Quality	-0.876	0.264
Value for Money	-0.295	-0.688
Healthiness & Organic Options	-0.716	0.697
Product Variety	-0.851	0.177
Convenience	-0.342	-0.617

Attributes coordinates. Displays the coordinates of all the attributes in every dimension.

Summary		
	Dimension I	Dimension II
3	Healthiness & Organic Options	
4	Product Variety	
5	Product Quality	

Dimension interpretation. Displays the names of the attributes most aligned with each dimension.

Segmentation & Targeting:

Segmentation (basis) variables in this study include respondents' perceptions of five grocery-retailer attributes, *Product Quality*; *Value for Money*; *Health/Organic Options*; *Variety/Uniqueness*; and *Convenience* together with overall brand-preference ratings. These variables were used to form homogeneous consumer clusters. Discriminant (descriptor) variables such as demographic and household characteristics (e.g., age, household size, monthly grocery spend), shopping frequency, and other behavioral or background data are used to profile and differentiate the segments after clustering, allowing for a deeper understanding of who belongs to each segment and how they behave.

Segmentation Analysis:

The clustering analysis identified three distinct consumer segments: Wellness Prioritizers, who are health- and quality-focused shoppers seeking unique or organic assortments; Budget Maximizers, who are price-sensitive and prioritize value and functional performance; and Convenience Seekers, who emphasize ease, speed, and accessibility in their shopping experience. These segments differ based on the importance they place on value, convenience, health/organic offerings, uniqueness, and product quality — discriminant variables that help profile each group's core motivations and shopping behaviors. Of these, the Convenience Seekers segment stands out as the most promising target for a marketing campaign, because it aligns directly with our proposed repositioning strategy: by improving store convenience (layout, checkout, pickup/delivery) while

preserving quality and uniqueness, we can meet the needs of this segment efficiently. Focusing on Convenience Seekers offers the opportunity to expand market share by appealing to customers whose needs are not fully addressed by traditional value or premium-oriented grocery retailers, making our marketing more effective and resource-efficient.

Discriminant Analysis:

Segment I: Wellness Prioritizers — Hardest to Extend

Segment I, the “Wellness Prioritizers,” comprises consumers who place the highest value on product quality, variety, uniqueness, and health or organic attributes. This group is highly discerning and expects innovative, differentiated, and consistently high-quality offerings. Their emphasis on credibility in wellness and specialty attributes creates a high barrier to entry, as competing effectively requires substantial product innovation and a clearly articulated brand identity. Trader Joe’s already aligns closely with these expectations, which further elevates consumer standards and intensifies competitive pressure. As a result, this segment represents the most challenging extension opportunity for any retailer.

Segment II: Budget Maximizers — Possible to Extend

Segment II, the “Budget Maximizers,” consists of consumers who emphasize value for money and seek a practical balance between price and acceptable product performance. Although Trader Joe’s is perceived as delivering strong value, traditional price-driven shoppers may still gravitate toward retailers offering deeper discounts. Reaching this segment is feasible but requires operational efficiency, competitive pricing, and a value proposition that emphasizes cost savings without diluting Trader Joe’s specialty positioning. Expectations in this segment are more functional than identity-driven, making it more accessible than Segment I; however, brands must clearly communicate how they deliver value to avoid confusing or weakening their unique market stance.

Segment III: Convenience Seekers — Easiest to Extend

Segment III includes consumers who prioritize convenience speed, ease of shopping, and accessibility. Because these expectations rely more on operational execution than on product differentiation or brand meaning, this segment is the easiest to target. Enhancing convenience typically involves adjustments such as optimized store layouts, faster checkout, improved

in-store navigation, or expanded delivery and pickup services—changes that do not require altering core product philosophy or brand identity.

Positioning Analysis:

Dimension 1: Value Orientation vs. Quality and Health Orientation

This dimension captures a trade-off between consumers who prioritize affordability and convenience and those who emphasize product quality, variety, and healthfulness. Attributes such as *Value for Money* (−0.295) and *Convenience* (−0.342) load slightly toward the value-oriented end of the scale, indicating that retailers perceived as cost-effective and easy to shop fall on the positive side of the dimension. In contrast, attributes related to *Healthiness & Organic Options* (−0.716), *Product Variety* (−0.851), and *Product Quality* (−0.876) load strongly on the negative side, reflecting retailers associated with high-quality products, diverse assortments, and health-focused offerings.

Overall, this dimension differentiates value- and convenience-driven retailers such as Walmart and Costco from premium, health-conscious retailers like Whole Foods and Sprouts.

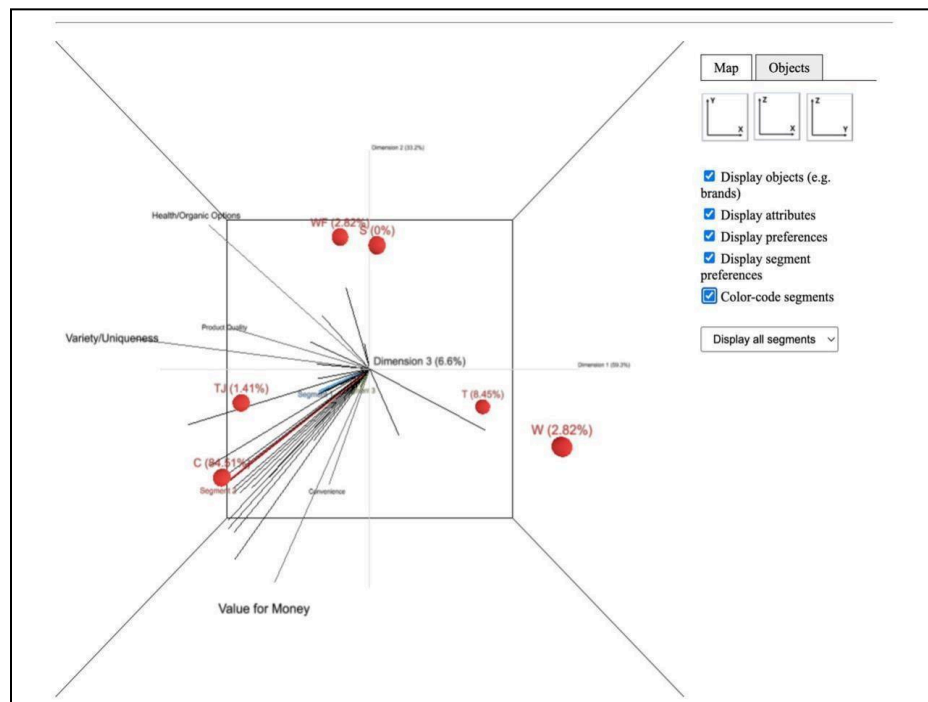
Consumers drawn toward the value end tend to prioritize low prices and efficient shopping experiences, whereas those aligned with the quality and health end prefer premium products, organic options, and broader product variety even at higher price points. This suggests that grocery shoppers balance economic considerations against the desire for quality and health attributes when selecting a retailer.

Dimension II: Health and Quality Orientation vs. Value and Convenience Orientation

This dimension contrasts retailers that emphasize health, premium quality, and product diversity with those positioned around affordability and ease of shopping. Attributes such as *Healthiness & Organic Options* (0.697) load strongly and positively, indicating that retailers on this end are perceived as catering to health-conscious consumers who seek natural or organic products. *Product Quality* (0.264) and *Product Variety* (0.177) also contribute positively, reflecting reliable product standards and expanded assortments commonly associated with premium or specialty grocery formats. In contrast, attributes related to *Convenience* (−0.617) and *Value for Money* (−0.688) load strongly on the negative side, representing retailers that are accessible, easy to shop, and price-driven.

Overall, this dimension differentiates premium, health-oriented retailers such as Whole Foods and Sprouts from value- and convenience-oriented retailers like Walmart and Target.

Consumers favoring the positive end of the dimension prioritize nutritional quality, organic options, and high product standards, often accepting higher prices in return. Meanwhile, those aligned with the negative end prioritize affordability, promotions, and convenient access over premium or health-focused attributes. This dimension thus captures a key consumer trade-off: the desire for health and product excellence versus the need for cost efficiency and shopping convenience.



How Consumers Perceive Trader Joe's with its Competitors:

After reviewing survey results, we found that the majority of respondents were between 25-34 years old and part of a 2-3 people household with an approximate monthly grocery budget of \$250 - \$499. Trader Joe's is perceived as a retailer with high variety and uniqueness, strong product quality, and moderately strong health and organic offerings. However, it scores lower on convenience compared to Walmart, Target, and Costco, and is seen as less focused on premium health attributes than Whole Foods.

This places Trader Joe's in a unique middle space as an "affordable specialty" retailer, but not strongly aligned with value or convenience. This is the average perception and preference

ratings from a scale of 1-6 with high numbers representing increased preference and the three colors represent three consumer lines. Based on the variance explained, we conclude that two dimensions explain cumulatively 92.1% of variance so we can focus on only two dimensions.

Overall Positioning:

Trader Joe's is well positioned in the marketplace through its strong associations with product variety, uniqueness, and quality, carving out a defensible niche as an "affordable specialty" retailer. However, the brand is less associated with convenience, a factor increasingly influential in store choice. Competitors such as Walmart, Target, and Costco outperform Trader Joe's in speed and accessibility, but this gap represents a manageable weakness rather than a strategic threat. Because convenience improvements primarily involve logistics and service enhancements rather than a shift in identity, Segment III (Convenience Seekers) remains the most accessible growth opportunity. Addressing this area allows Trader Joe's to broaden its appeal while preserving the strengths that distinguish it from competitors.

Recommended Re-positioning Strategy:

Target Segment: **Segment III – Convenience Seekers**

1. Streamline the In-Store Experience

- The brand should optimize store layouts and signage so customers can locate products quickly and navigate the store with minimal effort.
- The brand should introduce faster checkout options, such as self-checkout, mobile scan-and-go, or express lanes to reduce waiting times and improve the overall pace of shopping.
- The brand should implement better queue management systems to create a smoother and more efficient customer flow during peak hours.

2. Expand Convenience-Driven Services

- The brand should offer or enhance services like curbside pickup, scheduled pickup windows, and same-day delivery to meet the needs of customers with limited time.
- The brand should partner with reliable delivery platforms or build internal delivery capabilities to provide a consistently fast and dependable experience.
- The brand should position these services as integral components of a hassle-free shopping trip rather than premium add-ons.

3. Simplify the Assortment for Faster Decisions

- The brand should curate “quick grab” sections near the store entrance to help convenience-oriented shoppers complete their trips more efficiently.
- The brand should offer meal bundles, ready-to-cook kits, and pre-selected essentials that reduce the time customers spend planning their purchases.
- The brand should implement clear, intuitive product grouping and signage to help customers make decisions faster and with less cognitive effort.

4. Use Communications to Reinforce Convenience

- The brand should craft marketing messages that highlight ease, speed, and predictability as the primary benefits of shopping with them.
- The brand should emphasize features such as short wait times, reliable pickup windows, or a “done in 10 minutes” shopping promise to clearly signal its focus on convenience.
- The brand should ensure that convenience-focused messaging is consistently communicated across digital channels, in-store signage, and customer touchpoints.

5. Maintain Strengths Without Dilution

- The brand should continue to deliver on quality or curated assortments but position these attributes as supporting benefits rather than the lead message.
- The brand should ensure that the shift toward convenience feels additive by enhancing the experience without undermining what current customers already value.
- The brand should periodically assess customer sentiment to confirm that the repositioning is strengthening the brand rather than creating confusion.

Repositioning Statement:

“For convenience-driven shoppers, Trader Joe’s is the fastest and easiest place to complete a shopping trip because it offers streamlined store layouts, quick checkout options, and reliable pickup and delivery services”.

References

Albright, S. C. (2022). *Enginius* (Version 7.0) [Software]. DecisionPro, Inc.

<https://www.enginius.biz>

Lilien, G. L., Rangaswamy, A., & De Bruyn, A. (2017). *Principles of Marketing Engineering and Analytics* (3rd ed.). DecisionPro, Inc.

Appendix A

Questionnaire

Research Question:

How is Trader Joe's currently positioned in consumers' minds compared to key competitors, and what repositioning opportunities exist?

Hypothesis:

Trader Joe's successfully occupies a distinct 'affordable premium' positioning in the customer's mind, valued for its high quality and healthy options at a significantly lower price point than premium competitors like Whole Foods, while still being perceived as 'better' than discounters like Walmart.

Section 1: Screening & Shopping Behavior

Q1. How often do you typically shop for groceries?

- Daily
- 2–3 times a week
- Once a week (Primary shopper)
- Once or twice a month
- Less often / Never (*Screen out “Never” shoppers*)

Q2. Which of the following grocery stores have you shopped at in the past 3 months? (*Select all that apply*)

- Trader Joe's
- Whole Foods Market
- Walmart (Supercenter/Neighborhood Market)
- Target (with grocery section)
- Costco

Section 2: Testing the “Affordable Premium” Positioning

(*Used for perceptual mapping — 1 = Very Poor, 5 = Excellent*)

Q3. Product Quality — How would you rate the typical product quality at the following stores?
(*1 = Very Low Quality, 5 = Very High Quality*)

Q4. Value for Money — How would you rate the value for money at the following stores?
(1 = *Very Poor Value*, 5 = *Excellent Value*)

Q5. Healthiness / Organic Options — How would you rate the healthiness or organic options available?
(1 = *Limited Options*, 5 = *Excellent Options*)

Q5b. Product Variety / Uniqueness — How would you rate the variety and uniqueness of grocery items available?
(1 = *Very Limited*, 5 = *Very Diverse / Unique*)

Q5c. Convenience — How convenient is it to shop at the following stores?
(1 = *Very Inconvenient*, 5 = *Very Convenient*)

Q6. How important is the availability of well-known national brands when you shop for groceries?

- Very important (I need my specific brands)
- Somewhat important
- Neutral
- Slightly important
- Not important (I prefer store brands/generics)

Q7

Have you ever shopped at Trader Joes Yes/No
(if someone answers 'no', it will end there)

Q6b. *Net Promoter Score (NPS)*
How likely are you to recommend **Trader Joe's** to a friend or family member?
(1 = *Not at all likely*, 7 = *Extremely likely*)

Section 3: Attribute Importance (Ideal Store Preferences)

(Used for preference mapping and identifying white-space opportunities)

Q7. When choosing where to shop, how important are the following attributes to you?
(1 = *Not important*, 5 = *Extremely important*)

- Price competitiveness
- Product quality
- Health/organic options
- Variety/uniqueness

- Convenience/location
- Store atmosphere
- Customer service
- Sustainability/ethics

Perception of Trader Joe's

Q7b Modernity/Trendiness

Number of Respondents by Rating (1 = Not Modern at All, 5 = Extremely Modern)

Q7c Preference

Rate your preference on a scale of 1 - 6, where 1 = least favorable and 6 = most favorable.

- Trader Joe's
- Whole Foods Market
- Walmart
- Target
- Costco
- Sprouts

Section 4: Understanding Customer Choice and “Why Not Trader Joe’s”

Q8. What is the primary reason you choose **Trader Joe’s** for a shopping trip over other stores?
(*Select one*)

- Unique/exclusive product selection
- Price/value proposition
- Store atmosphere / friendly staff
- Convenience / location
- Quality of fresh produce / meat
- Specific seasonal items
- Other (please specify)

Q9. What is the main reason you don’t shop at Trader Joe’s more often? (*Select all that apply*)

- Lack of specific national brands I need
- Limited product selection overall
- Store location is inconvenient / parking is difficult
- Stores are too crowded / long lines
- Prices are too high for staples
- Inconsistent product availability (favorite items disappear)
- No online ordering / delivery option

Section 5: Repositioning and Attracting Younger Demographics

Q10. Which features would make you shop at **Trader Joe's** more often? *(Select all that apply)*

- Online ordering / curbside pickup
- Wider selection of fresh meat / produce
- More traditional grocery staples (e.g., everyday brands)
- Loyalty program / rewards
- Larger store format
- Nothing, it's perfect as is

Section 6: Demographics

Q11. What is your age range?

- 18–24
- 25–34
- 35–44
- 45–54
- 55+

Q12. What is your household size?

- Just myself

- 2–3 people
- 4 or more people

Q13. Approximate monthly grocery spend (in USD)?

- Under \$100
- \$100–\$249
- \$250–\$499
- \$500+